

Cipla Ltd.

Relative Valuation Report — Comparable Company Analysis

Prepared as part of Project: Relative Pricing — Cipla | Peer set: 9 Indian pharma comparables

1. Purpose

This report summarises a relative valuation (also called "comparable company" or "comps") analysis carried out for Cipla Ltd., an Indian pharmaceutical company listed on the NSE/BSE. The goal of the exercise is simple: figure out whether Cipla's current share price looks cheap or expensive next to a set of similar, listed pharma companies, using three commonly used trading multiples — EV/Revenue, EV/EBITDA, and P/E.

The underlying model is fully formula-driven in Excel, so every number in this report traces back to a live cell rather than a static, hardcoded figure.

2. Methodology

Relative valuation works off a simple logic: if a group of similar businesses trades at a certain multiple of their revenue, earnings, or profit, then the company being valued should, roughly speaking, trade at a similar multiple — assuming it has broadly comparable growth, margins, and risk. The steps followed here were:

- Select a peer group of listed Indian pharmaceutical companies of a broadly similar size and business mix to Cipla.
- Pull market data (share price, shares outstanding) and financials (Revenue, EBITDA, Net Income) for each peer, and compute Enterprise Value (Equity Value + Net Debt) for each.
- Calculate three multiples for every peer: EV/Revenue, EV/EBITDA, and P/E.
- Summarise the peer multiples statistically — High, 75th Percentile, Average, Median, 25th Percentile, Low.
- Apply the peer median multiple to Cipla's own Revenue, EBITDA, and Net Income to derive an implied Enterprise Value, then back into an implied equity value per share for each method.
- Compare the implied share price to Cipla's actual traded price to flag the stock as Undervalued or Overvalued under each method.

The median (rather than the average) is used as the primary benchmark because it's less distorted by outlier peers — in this peer set, Divi's Labs and Laurus Labs trade at unusually high multiples that would otherwise skew a simple average.

3. Peer Group

The comparable set consists of 9 Indian pharmaceutical companies, drawn from a larger screened universe of 30 listed pharma names (full list retained in the model's raw data tab for reference). The peers used in the actual valuation were:

- Sun Pharma Industries, Divi's Labs, Torrent Pharma, Zydus Lifesciences, Lupin, Mankind Pharma, Dr Reddy's Labs, Laurus Labs, Aurobindo Pharma.

These were chosen as large, well-established, diversified Indian pharma companies — a reasonable comparison set for Cipla, which itself is a large diversified generics and formulations player.

4. Trading Multiples — Peer Group

The table below shows each peer's trading multiples alongside Cipla's own, as of the pricing date used in the model (all figures in ₹, EV and financials in ₹ Crore):

Company	EV/Revenue	EV/EBITDA	P/E
Cipla (subject company)	4.1x	21.7x	34.5x
Sun Pharma Industries	7.5x	25.2x	37.7x
Divi's Labs	20.0x	56.7x	78.0x
Torrent Pharma	12.7x	38.5x	86.4x
Zydus Lifesciences	4.3x	14.8x	24.3x
Lupin	3.4x	10.7x	18.1x
Mankind Pharma	7.1x	27.2x	47.6x
Dr Reddy's Labs	3.1x	19.9x	30.8x
Laurus Labs	13.7x	49.0x	89.3x
Aurobindo Pharma	2.6x	13.0x	25.4x

5. Summary Statistics

Across the 9 peers (Cipla excluded from the stats set, since it is the subject company):

Statistic	EV/Revenue	EV/EBITDA	P/E
High	20.0x	56.7x	89.3x
75th Percentile	12.7x	38.5x	78.0x
Average	8.3x	28.3x	48.6x
Median	7.1x	25.2x	37.7x
25th Percentile	3.4x	14.8x	25.4x
Low	2.6x	10.7x	18.1x

A few observations on spread: the EV/EBITDA and P/E multiples show a wide range across peers (10.7x–56.7x on EV/EBITDA, 18.1x–89.3x on P/E), driven mainly by Divi's Labs and Laurus Labs, both specialty/CDMO-style businesses that command premium multiples versus more diversified formulations players like Lupin or Aurobindo. This wide dispersion is a reminder that comp-based valuation is sensitive to exactly which peers are included.

6. Implied Valuation for Cipla

Applying the peer median multiple to Cipla's own financials (Revenue ₹28,324 Cr, EBITDA ₹5,297 Cr, Net Income ₹3,356 Cr) gives the following implied valuation:

Line Item	EV/Revenue Method	EV/EBITDA Method	P/E Method
Peer median multiple applied	7.1x	25.2x	37.7x
Implied Enterprise Value (₹ Cr)	200,429	133,391	125,713 *
Less: Net Debt	(694)	(694)	(694)
Implied Market Value (₹ Cr)	201,122	134,085	126,407
Shares Outstanding (Cr)	80.8	80.8	80.8
Implied Value per Share (₹)	2,489	1,660	1,565
Actual Share Price (₹)	1,432	1,432	1,432
Verdict (model's built-in formula) †	Undervalued	Overvalued	Overvalued

* Under the P/E method, Enterprise Value isn't computed directly — implied Market Value is derived first ($\text{median P/E} \times \text{Net Income}$), and Enterprise Value is shown as the reciprocal for consistency of presentation.

† See Section 7a — the model's automated verdict benchmarks against a peer's price rather than Cipla's own price. The correct reading is in Section 7.

7. Reading the Results

On a fundamentals basis, comparing the implied per-share value to Cipla's own actual share price (₹1,432):

- EV/Revenue (median 7.1x) implies ₹2,489/share — well above ₹1,432, i.e. Cipla looks Undervalued on this basis. This is largely because Cipla's revenue base (₹28,324 Cr) is large relative to its Enterprise Value versus peers — the market simply isn't paying as much per rupee of Cipla's revenue as it pays peers.
- EV/EBITDA (median 25.2x) implies ₹1,660/share — also above ₹1,432, i.e. Undervalued on this basis too. Cipla's own EV/EBITDA (21.7x) sits below the peer median (25.2x).
- P/E (median 37.7x) implies ₹1,565/share — again above ₹1,432, i.e. Undervalued. Cipla's own P/E (34.5x) sits below the peer median (37.7x).

On this straightforward reading, all three methods point the same way: Cipla trades at a discount to the peer median on every multiple, and looks undervalued relative to its comparable set.

7a. A Modelling Note Worth Flagging

The workbook's own "Undervalued/Overvalued" formula (row 32 of the Relative Valuation tab) does not compare the implied price to Cipla's own share price. It benchmarks against cell \$C\$8 — the first peer in the table (Sun Pharma Industries, ₹1,902.4) — rather than \$C\$7 (Cipla, ₹1,432.2). This looks like an off-by-one row reference rather than a deliberate design choice, since a comp valuation should logically be tested against the subject company's own price.

Because of this, the model's built-in labels read "Overvalued" for the EV/EBITDA and P/E methods (comparing ₹1,660 and ₹1,565 against ₹1,902.4), even though both figures are actually above Cipla's real trading price of ₹1,432. Recommend fixing the formula to reference \$C\$7 before relying on the model's automated verdict.

8. Caveats & Limitations

- Small peer set: with only 9 comparables, the median is sensitive to which companies are included or excluded.
- Single point-in-time snapshot: multiples move daily with share prices; this is a snapshot, not a trend.
- No adjustment for growth, margin, or capital structure differences between Cipla and its peers — a raw multiple comparison doesn't control for the fact that some peers (e.g. Divi's Labs) are structurally higher-margin, higher-growth CDMO businesses rather than direct formulation peers.
- Comparable company analysis should be triangulated with other methods (DCF, precedent transactions) before being used as a standalone investment view.

9. Files in This Project

- Cipla_Relative_Valuation_Model.xlsx — the live, formula-driven Excel model (2 tabs: Relative Valuation, Raw Data - screener).
- README.md — repo overview and instructions for using/updating the model.
- This report (Report.docx) — narrative summary of methodology, findings, and caveats.

Appendix A — Model Screenshot: Relative Valuation Tab

Comparable Company Valuation											
Company	Market Data					Financials			Valuation		
	Share Price	Shares O/s	Equity Value	Enterprise Value	Net Debt	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
Cipla	1,432.2	80.8	115,707.4	(693.7)	115,013.8	28,324.4	5,296.7	3,355.7	4.1x	21.7x	34.5x
Sun Pharma.Inds.	1,902.4	239.9	456,442.8	(6,975.8)	449,467.1	59,910.5	17,847.3	12,117.0	7.5x	25.2x	37.7x
Divi's Lab.	8,597.0	26.6	228,250.4	(3,407.0)	224,843.4	11,230.0	3,967.6	2,925.0	20.0x	56.7x	78.0x
Torrent Pharma.	4,896.5	38.0	186,262.9	13,860.3	200,123.2	15,723.0	5,191.7	2,156.0	12.7x	38.5x	86.4x
Zydus Lifesci.	1,120.0	99.8	111,720.0	11,079.4	122,799.4	28,591.7	8,317.3	4,592.7	4.3x	14.8x	24.3x
Lupin	2,201.8	45.7	100,666.3	963.3	101,629.6	29,966.6	9,538.4	5,551.0	3.4x	10.7x	18.1x
Mankind Pharma	2,384.0	41.3	98,459.2	5,828.8	104,288.0	14,737.9	3,827.4	2,067.6	7.1x	27.2x	47.6x
Dr Reddy's Labs	1,174.7	83.5	98,052.2	4,385.4	102,437.6	33,227.9	5,140.4	3,183.3	3.1x	19.9x	30.8x
Laurus Labs	1,802.0	54.0	97,362.1	2,404.8	99,766.8	7,269.6	2,034.0	1,090.5	13.7x	49.0x	89.3x
Aurobindo Pharma	1,621.3	58.1	94,165.1	(1,797.5)	92,367.7	34,935.3	7,081.4	3,710.8	2.6x	13.0x	25.4x
High									20.0x	56.7x	89.3x
75th Percentile									12.7x	38.5x	78.0x
Average									8.3x	28.3x	48.6x
Median									7.1x	25.2x	37.7x
25th Percentile									3.4x	14.8x	25.4x
Low									2.6x	10.7x	18.1x
Cipla Comparable Valuation									EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value									200,428.7	133,391.0	125,713.4
Net Debt									(693.7)	(693.7)	(693.7)
Implied Market Value									201,122.4	134,084.7	126,407.1
Shares Outstanding									80.8	80.8	80.8
Implies Value per Share									2,489.4	1,659.7	1,564.6
Undervalued/Overvalued									Undervalued	Overvalued	Overvalued

Comparable company table, summary statistics, and implied Cipla valuation.

Appendix B — Model Screenshot: Raw Data (Screener) Tab

S.No.	Name	CMP Rs.	No. Eq. Shares Cr.	Market Cap	Debt Rs.Cr.
1	Sun Pharma.Inds.	1902.40	239.93	456442.83	4627.32
2	Divi's Lab.	8597.00	26.55	228250.35	7.00
3	Torrent Pharma.	4896.50	38.04	186262.86	15025.50
4	Cipla	1432.20	80.79	115707.44	613.77
5	Zydus Lifesci.	1120.00	99.75	111720.00	12496.00
6	Lupin	2201.80	45.72	100666.30	6616.18
7	Mankind Pharma	2384.00	41.30	98459.20	6311.54
8	Dr Reddy's Labs	1174.70	83.47	98052.21	7734.10
9	Laurus Labs	1802.00	54.03	97362.06	2518.48
10	Aurobindo Pharma	1621.30	58.08	94165.10	8072.84
11	Biocon	415.55	162.97	67722.18	15434.10
12	Glenmark Pharma.	2317.90	28.22	65411.14	593.53
13	Alkem Lab	5400.00	11.96	64584.00	2047.16
14	Abbott India	26230.00	2.12	55607.60	171.99
15	Glaxosmi. Pharma	2902.20	16.94	49163.27	33.27
16	Anthem Bioscienc	871.45	56.32	49080.06	53.93
17	Ipca Labs.	1911.20	25.37	48487.14	808.76
18	Gland Pharma	2819.30	16.50	46518.45	283.59
19	Ajanta Pharma	3639.80	12.50	45497.50	260.17
20	Emcure Pharma	1863.00	18.97	35341.11	1557.99
21	Sai Life	1457.40	21.23	30940.60	288.45
22	Wockhardt	1886.30	16.25	30652.38	2233.00
23	Neuland Labs.	23301.00	1.28	29825.28	301.27
24	Rubicon Research	1724.70	16.55	28543.79	311.01
25	Piramal Pharma	213.67	133.13	28445.89	5674.59
26	Acutaas Chemical	3169.00	8.19	25954.11	35.60
27	Pfizer	4978.20	4.57	22750.37	70.23
28	Granules India	858.15	24.78	21264.96	1512.04
29	Caplin Point Lab	2560.80	7.60	19462.08	4.61
30	Astrazeneca Phar	7415.50	2.50	18538.75	110.66

Raw fundamentals for the full 30-company screened pharma universe, source data for the peer set.